

PREMIER PAINT PLC
AUDITED FINANCIAL STATEMENT
AS AT 31ST DECEMBER, 2025

PREMIER PAINTS PLC

AUDITED REPORT AND FINANCIAL STATEMENTS - 2025
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PREMIER PAINTS PLC
AUDITED REPORT AND FINANCIAL STATEMENTS-2025 CORPORATE
INFORMATION

BOARD OF DIRECTORS

Mr.Adedoyin AdeyinkaChairman – (Appointed 5th June. 2025)
Mr. Bankole Abayomi O. Non-Executive (Appointed 1st July 2025)
Dr. M.K.O. Balogun Non -Executive
Dr.Banji Oyegbami Non-Executive
Mr Ajayi O. Anthony Non-Executive (Appointed 1st July 2025)

SECRETARY

AMN Practice - (Legal Consultants)

REGISTERED OFFICE

KM 2, Ifo Ibogun Road, Ifo, Ogun State

REGISTERED NUMBER

RC49197

REGISTRAR

Cardinal Stone (Registrars) Limited
355/337, Herbert Macaulay Way,
Sabo Bus Stop,
Yaba,
Lagos

BANKERS

Unity	Bank	Plc
Zenith	Bank	Plc
Wema	Bank	Plc
Polaris	Bank	Plc
Access Bank		Plc

AUDITOR

Ayinde Saheed & Co,
23, Independent Street, Anifowoshe, Ikeja, Lagos.

PREMIER PAINTS PLC

REPORT OF THE DIRECTORS FOR THE YEAR ENDED 31 DECEMBER 2025

The directors have pleasure in submitting to the members of the Company their report together with the audited financial statements for the year ended 31 December 2025.

Principal activity

The principal activity of the Company is the production and marketing of different grades of paints such as wood finishes for the furniture industry, decorative, industrial coatings and auto refinishes.

There was no change in the principal activities of the Company during the year.

Results for the year

	2025 N'000	2024 N'000
Turnover	148,105	130,828
(Loss)/profit after taxation	1,993	(707)

Dividend

The directors in submitting to the shareholders the financial statements for the year ended 31 December 2025 do not recommend the payment of dividend (2024: Nil).

Property, plant and equipment (PPE)

Information relating to changes in PPE is shown in Note 7 to the financial statements. In the opinion of the Directors, the market value of the Company's PPE is not less than the carrying value shown in the financial statements.

Acquisition of own shares

The company has not purchased any of its own shares during the year (2024: Nil).

Directors' interest in shares

Pursuant to Sections 275 and 276 of the Companies and Allied Matters Act, CAP C20 Laws of the Federation of Nigeria 2020, the direct and indirect interest of the Directors in the shares of the Company as notified by them and recorded in the Register is as follows:

PREMIER PAINTS PLC DIRECTORS' HOLDING AS AT 31 DECEMBER 2025 AND 31 DECEMBER 2024

PREMIER PAINTS PLC DIRECTORS' HOLDING AS AT 31 DEC 2025 AND 31 DEC 2024						
	31-Dec-2025		31-Dec-2024			
NAMES OF DIRECTORS	HOLDING	% HOLDING	HOLDING	% HOLDING		
MR. ADEDOYIN A. ADEYINKA	INDIRECT 61,003,350	10.57	INDIRECT 63,000,000	12.20		
MR. AJAYI O. ANTHONY		39.02		} 49.60	39.02	} 51.22
DR. M.K.O. BALOGUN						
DR. BANJI OYEGBAMI	NIL		NIL			
MR. ABAYOMI O. BANKOLE	750, 000	0.61	750, 000	0.61		
			NIL			
TOTAL	61. 753. 350	50.20	63. 750. 000	51.83		

Directors' interest in contracts

None of the Directors has notified the Company for the purpose of Section 277 of the Companies and Allied Matters Act, CAP C20 Laws of the Federation of Nigeria 2020 of any direct or indirect interest in contracts with which the Company is involved as at 31 December 2025 (2024: Nil).

Analysis of shareholding

According to the Register of Members, the following shareholders held more than 5% of the Issued Share Capital of the Company as at reporting date.

	2025		2024	
	Number of shares	% Holding	Number of shares	% Holding
Chief A.G.O. Bankole	15,548,850	13%	15,548,850	13%
TGHL Capital Limited & Clover Global Resources Ltd	61,003,350	50%	63,000,000	51%

Employment of disabled persons

It is the policy of the Company that there will be no discrimination in considering applications for employment including those from disabled persons. All employees whether disabled or not are given equal opportunities to develop their experience and knowledge and to qualify for promotion in furtherance of their career. As at 31 December 2025, no disabled person was employed by the Company.

Employees' involvement and training

The company is committed to keeping employees fully informed as much as possible regarding the Company's

Performance and progress and in seeking their views whenever practicable on matters which particularly affect them as employees.

Management, professional and technical expertise are the Company's major assets and investments in developing such skills continue. The company's expanding skill base has extended the range of trainings provided and has broadened opportunities for career development within the Company. Incentive schemes designed to meet the circumstances of each individual are implemented wherever appropriate and some of these schemes include bonus.

Health, safety and welfare of employees

Health and safety regulations are in force within the Company's premises and employees are aware of existing regulations. The company provides subsidy to all employees for medical, transportation and housing.

Events after the reporting date

There were no post balance sheet events that could have had a material effect on the financial statement of the Company that had not been adequately provided for or disclosed in the financial statement

Format of financial statements

The financial statements of Premier Paints Plc have been prepared in accordance with the reporting and presentation requirement of International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB).

Auditors

Ayinde Saheed & Co (Chartered Accountants), our External Auditors have expressed their willingness to continue in office as the Company's Auditors in accordance with Section 357(2) of the Companies and Allied Matters Act CAP C20 Laws of the Federation of Nigeria 2020.

BY ORDER OF THE BOARD



AMN PRACTICE – (LEGAL CONSULTANTS)

FRC/2013/NBA/00000003039
COMPANY SECRETARY.

March 24, 2026

PREMIER PAINTS PLC

STATEMENT OF CORPORATE RESPONSIBILITIES FOR THE FINANCIAL STATEMENT FOR THE YEAR ENDED 31 DECEMBER 2025

In line with the provision of S. 405 of CAMA 2020, we have reviewed the audited financial statement of the company for the year ended 31st December, 2025 and based on our knowledge confirm as follows:

- i. The audited financial statement do not contain any untrue statement of material fact or omit to state a Material fact which would make the statement misleading.
- ii. The audited financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operation of the company as of and for the period ended December 31, 2025.
- iii. The company's internal controls has been designed to ensure that all material information relating to the company is received and provided to the auditors in the course of the audit.
- iv. The company's internal controls were evaluated within 90 days of the financial reporting date and are effective as of 31 December, 2025.
- v. That we have disclosed to the company's Auditors and Audit Committee the following information:
 - a. There are no significant deficiencies in the design or operation of the company's internal controls which could adversely affect the company's ability to record, process, summarize and report financial data, and have discussed with the auditors any weakness in internal controls observed in the cause of the Audit.
 - b. There is no fraud involving management or other employees which could have any significant role in the company's internal control.
- vi. There are no significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of this audit, including any corrective actions with regards to any observed deficiencies and material weaknesses.

26 March 2026



Adedoyin Adeyinka (Director)
FRC/2013/IODN/00000004265



Mathew Eledan (Head of Finance)
FRC/2013/ICAN/00000002332

Premier Paints Plc is committed to the principle of Corporate Governance and Code of Best Practices. We are committed to ensuring integrity, transparency, credibility, full disclosure and accountability in all aspects of its business and providing information to all stakeholders.

As a Company quoted on the Nigerian Stock Exchange, we remain focused on our obligations to safe guarding and improving shareholders value. We remain committed to maintaining transparent and best practices in line with the Securities & Exchange Commission (SEC)'s Code of Corporate Governance for Nigeria's International Best Practices on Corporate Governance and Premier Paints Plc's Principles of Ethics and Compliance.

The corporate governance practices of the Company are designed to ensure accountability of the Board and management to all stakeholders.

The Board is responsible for controlling and managing the strategic business of the Company and constantly reviews and presents a balanced and comprehensive assessment of the Company's performance and future prospects. The Board exercises all such powers of the Company as are by law and Articles of Association of the Company required to be exercised in General Meeting.

As part of its goal, the Company has maintained different and separate roles for the Chairman and the Managing Director/Chief Executive Officer. Presently the Board of Directors has an Eight (8) member Board led by the Chairman who is a Non-Executive Director. There are Six (6) Non- Executive Directors and two (2) Executive Directors of the Board.

All the Directors bring various and varied competence to bear on all board deliberations. The Board meets regularly and is responsible for effective control and monitoring of the Company's strategy. The Chairman directs the Board ensuring that it operates effectively, while fully discharging its legal and regulatory obligations.

The Board delegates the responsibility for the day to day management of the Company's affairs to the Managing Director/CEO who is supported by the Executive Director. Various management Committees also meets regularly.

Appointment to the Board

The appointment of new directors to the Board is done by the Nominations & Governance Committee of the Board setting the criteria for the desired experience and competence of a new director and recommending suitable candidates to the Board for approval. The following core values are considered in nominating a new director to the Board: - (i) integrity, (ii) professionalism, (iii) career success and (iv) availability to add value to the Company.

Shareholding in the Company is not considered a criterion for nomination and appointment.

It is the responsibility of the Board of Directors to ensure that all records are accurate and correctly reflect the financial position of the Company.

The Directors have formalized a Charter and a Code of Business Ethics for the Board. The Charter provides the following for the roles and responsibility of the Board of Directors: -

- Strategy and Planning
- Staffing at Board and Senior Management Levels
- Executive Remuneration
- Performance Monitoring

- Risk Management & Internal Control
- Audit and Compliance
- Capital Management and Financial Reporting
- Communication with the Shareholders and management of investor relations
- Board and its Committees accountabilities and responsibilities

The Board is alive to its responsibilities which basically is the creation of stakeholder value and ensuring the success of the Company. Members of the Board are required at all times to act in the best interest of the Company in the articulation and formulation of its strategic policies; and ensuring that the Company achieves its objectives.

The Directors' direct and indirect shareholdings in the Company, where it exists, are disclosed elsewhere in this report as required by law.

The Board met four (4) times during the year and functions either as a full Board or through any of the under listed three (3) Committees which are constituted as follows: -

S/N		MEMBERSHIP	STATUS
1	Finance & Strategy committee	Dr. M.K.O Balogun Mr Abayomi Bankole Mr. Adedoyin Adeyinka	Chairman Member Member
2.	Audit & Risk Committee	Dr Banji Oyegbami Mr Ajayi O. Anthony	Chairman Member
3.	Nominations & Governance Committee	Mr. Adedoyin Adeyinka Dr. M.K.O. Balogun Mr Abayomi Bankole	Chairman Member Member

In addition, a Management Executive Committee Meeting headed by the Chief Executive Officer meets weekly to address policy implementation and other operational issue.

COMMUNICATION POLICY

The Company is committed to managing an open and consistent communication policy with shareholders, potential investors and other interested parties. The objective is to ensure an appropriate balance in meeting the many needs of its shareholders and at the same time building a relationship with them.

COMPLAINTS MANAGEMENT POLICY

The Company confirms that there is in place a Complaints Management Policy Framework in compliance with the Securities & Exchange Commission Rule effective 2015. The guideline provides that all Capital Market Operators should develop a Complaints Policy Framework on how to resolve complaints arising from issues covered under the Investment and Securities Act, 2007 (ISA).

SECURITIES TRADING POLICY

The Company confirms that there is in place a Securities Trading Policy which applies to all employees and Directors of the Company in compliance with Rule 17.15 of The Disclosure of Dealings in Issuers' Shares, Rules of the Exchange, 2015 (Issuers' Rules) which states that: "Every Issuer shall establish a Securities Trading Policy which apply to all employees and Directors and shall be circulated to all employees that March at times possess any insider or material information about the Issuer. The Trading Policy shall include the need to embrace confidentiality against external advisers'

The Company has complied with the provisions of Section 14 of the Amended Listing Rules of the Nigerian Stock Exchange by adopting a Code of Conduct regarding securities transactions by its Directors and Staff. All Directors and all Staff have complied with the Listing Rules and the Issuer's Code of Conduct regarding securities transactions.

CODE OF CONDUCT

The Company has put in place a Code of Business Conduct in line with internationally recognized best practices. Employee compliance with the Company's Code of Conduct training and certification is closely monitored.

ATTENDANCE AT BOARD MEETINGS

S/N	NAMES	DESIGNATION	MEETING DATES			
			June 5th 2025	Aug 12th 2025	Aug 26th 2025	Dec 11th 2025
1	Mr. Adedoyin Adeyinka	Chairman	Present	Present	Present	Present
2	Dr M.K.O. Balogun	Non- Executive Director	Present	Present	Present	Present
3	Mr Ajayi O. Anthony	Non- Executive Director	Absent	Absent	Present	Present
4	Dr Banji Oyegbami	Non- Executive Director	Present	Present	Present	Present
5	Mr Abayomi Bankole	Non- Executive Director	Absent	Absent	Present	Present

FINANCE & STRATEGY COMMITTEE

This Committee met twice (2) times. The Committee meets as the need arises to review and make recommendations to the Board of Directors with respect to the Company's Financial and Investment strategies and objectives

The Committee assists the Board in fulfilling its oversight responsibilities with regards to audit and control as well as ensures that an effective financial and internal control is in place.

The Committee also ensures that all financial statement and disclosures are accurate and evaluates the performance of both the External and Internal Auditors of the Company.

ATTENDANCE AT FINANCE & STRATEGY COMMITTEE MEETING

S/N	NAMES	DESIGNATION	MEETING DATE 26-08-2025	MEETING DATE 11-12-2025
1.	Dr. M.K.O. Balogun	Chairman	Present	Present
2.	Mr. Adedoyin Adeyinka	Member	Present	Present
3.	Mr Abayomi Bankole	Member	Present	Present

AUDIT & RISK COMMITTEE OF THE BOARD

The Committee held two (2) meetings during the year. Section 359 (6) of the Companies and Allied Matters Act CAP 20 Laws of the Federation of Nigeria 2020 provides for the functions.

ATTENDANCE AT THE AUDIT & RISK COMMITTEE MEETING OF THE BOARD

S/N	NAMES	MEETING DATE: 26-08-2025
1.	Dr Banji Oyegbami.	Present
2.	Mr Ajayi O. Anthony	Present

AUDIT COMMITTEE OF THE COMPANY

The Audit Committee is statutorily empowered to review the financial process of the Company, its audit system, internal control and management of financial risk and ensuring strict compliance with statutory regulatory and professional replacements. The Committee reviews the performance of the External Auditors to the Company. The Committee is chaired by a shareholder and has two other shareholders and three directors as members.

ATTENDANCE AT AUDIT COMMITTEE MEETING

S/N	NAMES	MEETING DATE: 7-08-2025
1.	Mr Alex Ojei	Present
2	Mr. Samson Olagoke	Present
3	Ms Efunremi Shopeju	(Late)
4	Dr Banji Oyegbami	Present

NOMINATIONS & GOVERNANCE COMMITTEE

This Committee met twice (2) times. The Committee meets as the need arises to review the composition of the Board and senior management staff. It also makes recommendations relating to Corporate Governance.

ATTENDANCE AT NOMINATIONS & GOVERNANCE COMMITTEE MEETING

S/N	NAMES	DESIGNATION	MEETING DATE 05-06-2025	MEETING DATE 11- 12-2025
1.	Mr. Adedoyin Adeyinka	Chairman	Present	Present
2.	Dr. M.K.O. Balogun	Member	Present	Present
3.	Mr Abayomi Bankole	Member	Absent	Present

COMMUNICATION POLICY

The Company is committed to managing an open and consistent communication policy with shareholders, potential investors and other interested parties. The objective is to ensure an appropriate balance in meeting the many needs of its shareholders and at the same time building a relationship with them.

COMPLAINTS MANAGEMENT POLICY

The Company confirms that there is in place a Complaints Management Policy Framework in compliance with the Securities & Exchange Commission Rule effective 2015. The guideline provides that all Capital Market Operators should develop a Complaints Policy Framework on how to resolve complaints arising from issues covered under the Investment and Securities Act, 2007 (ISA).

CODE OF CONDUCT

The Company has put in place a Code of Business Conduct in line with internationally recognized best practices. Employee compliance with the Company's Code of Conduct training and certification is closely monitored.

Management

The daily running of the business is vested in the Executive Management Committee led by the Managing Director/CEO, supported by other Management Staff. The Executive Committee which also is responsible for Internal Control effectiveness holds a weekly meeting to evaluate performance of the various aspects of the Company's operations and make policy decisions in line with Board directives. The Committee sets targets for execution of tasks and reviews minutes at subsequent meeting to monitor compliance with such targets.

SHAREHOLDING STRUCTURE/FREE FLOAT STATUS

COMPANY NAME:	Premier Paints Plc
BOARD LISTED:	Main Board
YEAR END:	December
REPORTING PERIOD:	Period Ended 31 Dec, 2025
SHARE PRICE AT END OF REPORTING PERIOD:	N10.00 (2024): N10.00

Shareholding Structure/Free Float Status		31-Dec-25		31-Dec-24	
Shareholders		Units of Holdings	% of Holdings	Units of Holdings	% of Holdings

Issued Share Capital	123,000,000	100%	123,000,000	100%
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Details of Substantial Shareholdings (5% and above)

CLOVER GLOBAL RESOURCES LIMITED	48,000,000	39%	48,000,000	39%
TGHL-Capital Limited	13,003,350	11%	15,000,000	12%
Chief A.G.O. Bankole	15,548,850	13%	15,548,850	13%
Total Substantial Shareholdings (5% and above)	76,552,200	62%	78,548,850	64%

Details of Directors Shareholdings (direct and indirect), Excluding directors' holding substantial interest

Mr. Abayomi O. Bankole	750,000	1%	750,000	1%
Mr. Adedoyin Adeyinka	Indirect under TGHL & Clover Global			
Dr. M.K.O. Balogun				
Mr. Ajayi O. Anthony				
Dr. Banji Oyegbami	Nil		Nil	
Total Directors' Shareholdings	750,000	1%	750,000	1%

Other influential Shareholdings

		0%		0%
				0%
Total Other influential Shareholdings	-	0%	-	0%

Free float in Units and Percentages	45,697,800	37%	43,701,150	36%
Free float in Value	=N=456,978,000.00		=N=437,011,500.00	

Declaration:

(A) Premier Paints Plc with a free float of 37% as at 31 Dec 2025, is compliant with The Exchange's free float requirements for Companies listed on the Main Board.

(B) Premier Paints Plc with a free float value of N437, 511, 500.00 as at 31 Dec 2024, is compliant with The Exchange's free float requirements for Companies listed on the Main Board.

BY ORDER OF THE BOARD

AMN PRACTICE (LEGAL CONSULTANTS) - COMPANY SECRETARY.
FRC/2013/NBA/00000003039

March 24, 2026

PREMIER PAINTS PLC
RESPONSIBILITIES
AUDITED REPORT AND FINANCIAL STATEMENTS - 2025 STATEMENT OF DIRECTORS'

The directors accept responsibility for the preparation of the full year financial statements set out on pages 30-48 that gives a true and fair view in accordance with International Financial Reporting Standards and in the manner required by the Companies and Allied matters Act 2020 as amended.

The responsibilities include ensuring that:

- Appropriate and adequate internal controls are established to safeguard the assets of the Company and to prevent and detect fraud and other irregularities;
- The Company keeps proper accounting records which disclose with reasonable accuracy the financial position of the Company and which ensure the financial statements comply with the requirements of the Companies and Allied Matters Act, 2020, and relevant provisions International Financial Reporting Standards;
- The Company has used appropriate accounting policies, consistently applied and supported by reasonable and prudent judgments and estimates, and that all applicable accounting standards have been followed; and
- The financial statements are prepared on a going concern basis unless it is presumed that the Company will not continue in business.

The directors accept responsibility for the financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and the requirements of the Companies and Allied Matters Act as amended.

The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Company and of its profit or loss. The directors further accept responsibility for the maintenance of accounting records that March be relied upon in the preparation of financial statements as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the Company will not remain a going concern for at least twelve months from the date of this statement.

SIGNED ON BEHALF OF THE BOARD OF DIRECTORS BY:

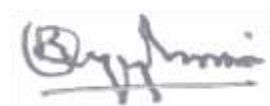


Signature

Mr. Adedoyin Adeyinka
(Chairman)

FRC/2013/IODN/00000004265

Date: March 26, 2026



Signature

Dr. Banji Oyegbami
(Director)

Date: March 26, 2026

PREMIER PAINTS PLC

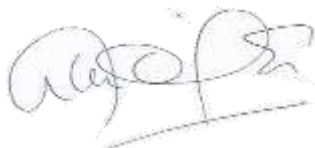
AUDIT COMMITTEE'S REPORT FOR THE YEAR ENDED 31 DECEMBER 2025

In compliance with the provisions of Section 359 (4) to (5) of the Companies and Allied Matters Act CAP C20, Laws of the Federation of Nigeria 2020, the committee considered the Audited Financial statements for the year ended 31 December 2025 together with the Management Letter from the Auditors and the Management's response thereto as at Meeting held on March 20, 2026.

In our Opinion, the scope and planning of the audit were adequate. After due consideration, the Committee accepted the Report of the Auditors that the Financial Statements were in accordance with ethical practice and generally accepted accounting principles and gives a true and fair view of the state of the Company's financial affairs.

The Committee reviewed the Management Comment Letter and in response to the Auditors' findings in respect of the management matters we and the Auditors are satisfied with the management's response thereto.

The Committee therefore recommended that the Annual Financial Statement for the year ended 31 December 2025 and Auditors Report thereon be presented for adoption at the Annual General Meeting.



Mr. Alex Ojei
Chairman of Audit Committee
FRC/2014/CIIN/00000007170

Dated this March 20, 2026

OTHER MEMBERS OF THE COMMITTEE

Mr. Samson Olagoke	Member
Mr Ajayi O. Anthony	Member
Dr. Banji Oyegbami	Member

INDEPENDENT AUDITORS REPORT TO MEMBERS OF PREMIER PAINTS PLC

Report on the Audited Financial Statements

Opinion

We have audited the financial statements of Premier Paints Plc, which comprise the statement of financial position as at 31 December 2025, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes .

In our opinion, the financial statements present fairly, in all material respects, the financial position of Premier Paints Plc as at 31 December 2025, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), and the requirements of the Companies and Allied Matters Act of Nigeria, Cap C20 LFN 2020, the Financial Reporting Council of Nigeria Act, 2011 and relevant Securities and Exchange Commission circulars and guidelines.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Nigeria, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code, and in accordance with other ethical requirements applicable to performing the audit of Premier Paints Plc.. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key Audit Matter	How the matter was addressed in the audit
Risk of fraud in revenue recognition	We assessed the consistency of the application of the revenue recognition policy by reconsidering the accounting policy for the source of the company's revenue. We tested the design and operating effectiveness of the controls (including IT controls) over the revenue system to determine the extent of additional substantive testing required and also tested sales system reconciliations at 30 December 2025. We found no material misstatements from our testing.

Impairment assessment of trade and other receivables

We have identified the impairment on trade and other receivables as a key audit matter because of its significance to the financial statements and the policy and assessment for making such impairment involves significant degree of management's judgement.

We checked that revenue had been recognized at the correct time by testing a sample of transactions and comparing the invoice dates against which the revenue had been recognized. No exceptions were noted from our testing.

Our work also included testing a sample of manual journals which did not identify any items that could not be substantiated.

Our audit procedures in relation to management's impairment assessment of trade and other receivables included:

- Testing the company's credit control procedures, in particular credit assessment in the controls around credit terms.
- Challenging reasonableness of the method and assumptions and critical judgement used by the management by assessing the reliability of the management's past estimates of bad debt provisions and taking into account of receivables at the year end and cash received after year end, as well as the creditworthiness of each debtor.

Valuation of inventories

We identified the valuation of inventories as a key audit matter due to the significance of the balance to the financial statements as a whole, combined with the significant degree of judgement by the management associated with determining the net realizable value ("NRV").

NRV represents the latest selling prices for inventories less all estimated costs of completion and costs necessary to make the sale. The management's estimation of the NRV was primarily based on the latest selling prices and current market conditions. The management carried out the inventory review at the end of the reporting period and concluded that there was no impairment allowance required for inventories at 31 December 2023 and the carrying amount of inventories was approximately N247 as at 31 December 2025.

We found that the estimation and judgement made by management in respect of the recoverability of trade and other receivables were supportable by the credible evidence.

Our audit procedures in relation to assessing the appropriateness of the carrying value of the inventories included:

- Testing the operating effectiveness of controls associated with the existence and condition of inventories.
- Obtaining an understanding of how the management estimated the NRVs of inventories and evaluating the historical accuracy of the management's estimations.
- Discussing with management and assessing the basis of the management's estimations of subsequent selling price, costs to completion and costs necessary to make the sale.
- Assessing management's process for researching the current market conditions in paint industries to identify any potential adverse impact on the selling price and the carrying value of the company's inventories.

- Verifying the value of a sample of inventories to confirm that the inventories were held at the lower of cost and NRV.

Based on our procedures described, we found the estimations of management in relation to impairment assessment of inventories were supportable by available evidence.

Going Concern

The financial statements have been prepared using the going concern basis of accounting. The use of this basis of accounting is appropriate unless management either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so. As part of our audit of the financial statements, we have concluded that management's use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

There is a material uncertainty that may cast significant doubt on the company's ability to continue as a going concern, and accordingly is disclosed in the audited financial statements. Based on our audit of the company's financial statements, we also have identified a material uncertainty.

Information Other than the Financial Statements and Audit Report thereon

The Directors are responsible for the other information. The other information comprises the information included in [the directors' report as required by the Companies and Allied Matters Act 2004 as amended, Value added statement and financial summary but does not include the financial statements and our audit report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors and Those Charged with Governance for the Financial Statements

The company's directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards, and requirements of the Companies and Allied Matters Act of Nigeria, Cap C20 LFN 2004, the Financial Reporting Council of Nigeria Act, 2011 and relevant Securities and Exchange Commission Circulars and guidelines and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or has no realistic alternative but to do so. Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern. Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

As required by the Companies and Allied Matters Act of Nigeria, Cap C20 LFN 2004 we report to you, based on our audit, that:

1. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
2. in our opinion proper books of account have been kept by the company, so far as appears from our examination of those books; and
3. The company's statement of financial position and profit and loss account are in agreement with the books of account.
4. Related party transactions and balances are disclosed in Note 28 to the financial statements
5. The company complied with the requirements of the relevant circulars of Securities & Exchange Commission and the Nigerian Stock Exchange.

For: Ayinde Saheed & Co. (Chartered Accountants)



SAHEED AYINDE (FRC/2023/PRO/ICAN/004/190358)

Managing Partner

LAGOS, NIGERIA

March 26, 2026

PREMIER PAINTS PLC
AUDITED REPORT AND FINANCIAL STATEMENTS - 2025
STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES

1.0 GENERAL INFORMATION

1.1 Reporting Entity

Premier Paints Plc is situated at KM 2, Ifo-Ibogun Road, Ifo, Ogun State. The company was incorporated on 24 August 1982 as a private family business. At incorporation, the issued share capital was 100,000 ordinary shares of 50 kobo each. The company was converted to a public quoted company and the shares were listed on the Nigerian Stock Exchange on 7 November 1995.

Trans Global Holdings Limited (TGHL), a Nigerian holding company, bought 31 percent of the shares of the Company on 12 March 2012 through a special placement by the name "Clover Global Resources Ltd" thereby increasing its shareholding from 20% to 51% thus making TGHL the controlling shareholder of the Company.

1.2 Principal Activities

The principal activity of the Company is the production and marketing of different grades of paints such as wood finishes for the furniture industry, decorative, industrial coatings and auto refinishes.

2.0 Summary of Significant Accounting Policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

2.1 Basis of preparation

The financial statements of Premier Paints Plc have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB), Financial Reporting Council of Nigeria Act No 6, 2011 and the provisions of Companies and Allied Matters act, CAP C20 Laws of the Federation of Nigeria 2020.

Additional information required by national regulations is included where appropriate. The financial statements have been prepared on the historical cost basis, except for revalued property, plant and equipment.

Functional and presentation currency

These financial statements are presented in Nigerian Naira, which is the Company's functional currency. All financial information presented in Naira has been rounded to the nearest thousand unless stated otherwise.

Significant accounting estimates and assumptions

The preparation of financial statements in conformity with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses and the accompanying disclosures of the contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

PREMIER PAINTS PLC
STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES Cont'd...

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared.

Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the company. Such changes are reflected in the assumptions when they occur.

These estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected. In particular, information about significant areas of assumption, estimation, uncertainties and critical judgements in applying the accounting policies that have the most significant effect on the amount recognised in the financial statements include the following:

Taxes

Uncertainties exist with respect to the amount and timing of future taxable income. Given the differences in the interpretation of the underlying principles of taxable income, differences arising between the actual results and the assumptions made could necessitate future adjustment to tax income and expenses already recorded. The company establishes provisions based on reasonable estimates.

Deferred taxes are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgements is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future tax able profits together with future tax planning strategies.

Further details of taxes are disclosed in Note 5 and Note 16.

Allowance for doubtful accounts

The allowance for doubtful accounts involves management judgement and review of individual receivable balances based on an individual customer's prior payment record, current economic trends and analysis of historical bad debts of a similar type. Further details of the allowance are disclosed in Note 9.

Property, plant and equipment

Judgments are utilised in determining the depreciation rates, revaluation assumptions and useful lives of these assets at the end of the period.

Land and Building is stated based on the revaluation carried out as at 31 December 2016. Further details of property, plant and equipment are disclosed in Note 7.

2.2.1 New Standards and Amendments adopted by the Company

(a) Standards issued but not yet effective

Standards issued but not yet effective up to the date of issuance of the Company's financial statements are listed below. This listing of standards and interpretations issued are those that the Company reasonably expects to have an impact on disclosures, financial position or performance when applied at a future date. The company intends to adopt these standards when they become effective.

PREMIER PAINTS PLC
STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES Cont'd...

A number of standards, interpretations and amendments are effective for annual period beginning after 1 January 2019 and earlier application permitted; however, the company has not early applied the following new or amended standards in preparing these financial statements:

New or amended standards	Summary of the requirements	Possible impact on financial statements
Classification of Liabilities (Amendments to IAS 1)	IASB issued Classification of Liabilities as current or Non-current (Amendments to IAS 1) on 23 rd January 2020. It aims at providing more general approach to the classification of liabilities under IAS 1 based on the contractual arrangements in place at the reporting date. The amendments were originally effective for annual reporting periods beginning on or after 1 January 2022, however, their effective date has been delayed to 1 January 2023	This is not expected to have an effect on the Company's financial statements.
Amendments to IFRS 17	On 25 th of June 2020, the IASB issued "Amendments to IFRS 17 to address concerns and implementation challenges that were identified after IFRS 17'Insurance Contracts' was published in 2017. The amendments are effective for annual periods beginning on or after 1 January 2023.	This is not expected to have effect on the Company's financial statements.
Disclosure of Accounting Policies	On 12 February 2020, the IASB issued 'Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2)' with amendments that are intended to help prepares in deciding which accounting policies to disclose in their financial statements. The amendments are effective for annual periods beginning on or after 1 January 2023	This is not expected to have effect on the Company's financial statements.
IAS 8- Accounting Estimates	On 12 February 2020, the IASB issued 'Disclosure of Accounting Estimates (Amendments to IAS 8)' to help distinguish between accounting policies and accounting estimates. The amendments are effective for annual periods beginning on or after 1 January 2023	This is not expected to have an effect on the Company's financial statements.
IFRS 17 Insurance Contracts	IFRS 17 establishes the principles for the recognition, measurement, presentation and disclosure of	This is not expected to have an effect on the Company's financial statements.

insurance contracts within the scope of the standard. The objective of IFRS 17 is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of financial statements to assess the effect that insurance contracts have on the entity's financial position, financial performance and cash flows.

IFRS 17 was issued in March 2017 and applies to annual reporting periods beginning on or after 1 January 2021.

IAS 16
(Amendments regarding
proceeds before intended use)

On 14th May 2020, the IASB issued Property, Plant & Equipment- Proceeds before intended use (Amendments to IAS 16); regarding proceeds from selling items produced while bringing an asset into the location and condition necessary for it to be capable of operating in the manner intended by management. The amendments are effective for annual reporting periods beginning on or after 1 January 2022.

This is not expected to have an effect on the Company's financial statements.

Annual Improvements cycle

On 14 May 2020, the IASB issued 'Annual Improvements to IFRS standards 2018-2020'. The pronouncement contains amendment to four International Financial Reporting Standards (IFRSs) as a result of the IASB's annual improvements project. The amendments are effective for annual reporting periods beginning on or after 1 January 2022.

This is not expected to have an effect on the Company's financial statements.

IAS 37- Onerous Contracts

On 14 May 2020, the IASB issued 'Onerous Contracts- Cost of Fulfilling a Contract (Amendments to IAS 37)' amending the standard regarding costs a company should include as the cost of fulfilling a contract when assessing whether a contract is onerous. The amendments are effective for annual reporting periods beginning on or after 1 January 2022.

This is not expected to have an effect on the Company's financial statements.

IFRS 3
(Amendments updating a
reference to the conceptual
framework)

On 14 May 2020, IASB issued 'Reference to the conceptual Framework (Amendments to IFRS 3)' with amendments to IFRS 3 'Business Combination' that update an outdated reference in IFRS 3 without significantly changing its requirements. The amendments

This is not expected to have an effect on the Company's financial statements.

	are effective for annual reporting periods beginning on or after 1 January 2022.	
IBOR reform Phase 12 amendments	On 27 August 2020, the IASB issued Interest Rate Benchmark Reform -Phase 2 (Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 & IFRS 16) with amendments that address issues that might affect financial reporting after the reform of an interest rate benchmark, including its replacement with alternate benchmark rates. The amendments are effective for annual reporting periods beginning on or after 1 January 2021.	This is not expected to have an effect on the Company's financial statements.

(b) Standards and interpretations effective during the reporting period

Its important to note that no standard or amendment to existing standard during the reporting period, have any material impact on the accounting policies, financial position or performance of the Company.

1. DEFINITION OF A BUSINESS-AMENDMENTS TO IFRS 3: BUSINESS COMBINATION

The IASB issued amendments to the definition of a business in IFRS 3 Business Combinations to help entities determine whether an acquired set of activities and assets is a business or not. They clarify the minimum requirements for a business, remove the assessment of whether market participants are capable of replacing any missing elements, add guidance to help entities assess whether an acquired process is substantive, narrow the definitions of a business and of outputs, and introduce an optional fair value concentration test. New illustrative examples were provided along with the amendments

Minimum Requirements to be a Business

The amendments clarify that to be considered a business, an integrated set of activities and assets must include, at a minimum, an input and a substantive process that together significantly contribute to the ability to create output. They also clarify that a business can exist without including all of the inputs and processes needed to create outputs. That is, the inputs and processes applied to those inputs must have 'the ability to contribute to the creation of outputs' rather than 'the ability to create outputs.

Market participants' ability to replace missing elements: Prior to the amendments, IFRS 3 stated that a business need not include all of the inputs or processes that the seller used in operating that business, 'if market participants are capable of acquiring the business and continuing to produce outputs, for example, by integrating the business with their own inputs and processes'. The reference to such integration is now deleted from IFRS 3 and the assessment must be based on what has been acquired in its current state and condition.

Assessing whether an acquired process is substantive

The amendments specify that if a set of activities and assets does not have outputs at the acquisition date, an acquired process may be considered substantive only if:

- (a) it is critical to the ability to develop or convert acquired inputs into outputs; and
 - (b) the inputs acquired include both an organized workforce with the necessary skills, knowledge, or experience to perform that process, and other inputs that the organized workforce could develop or convert into outputs.
- In contrast, if a set of activities and assets has outputs at that date, an acquired process may be considered substantive if:

it is critical to the ability to continue producing outputs and the acquired inputs include an organized workforce with the necessary skills, knowledge, or experience to perform that process; or it significantly

contributes to the ability to continue producing outputs and either is considered unique or scarce, or cannot be replaced without significant cost, effort or delay in the ability to continue producing outputs.

The amendments narrowed the definition of outputs to focus on goods or services provided to customers, investment income (such as dividends or interest) or other income from ordinary activities. The definition of a business in Appendix A of IFRS was amended accordingly.

Optional concentration test: The amendments introduced an optional fair value concentration test to permit a simplified assessment of whether an acquired set of activities and assets is not a business. Entities may elect to apply the concentration test on a transaction-by-transaction basis. The test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets. If the test is met, the set of activities and assets is determined not to be a business and no further assessment is needed. If the test is not met, or if an entity elects not to apply the test, a detailed assessment must be performed applying the normal requirements in IFRS 3-Business Combination.

The amendments must be applied to transactions that are either business combinations or asset acquisitions for which the acquisition date is on or after the beginning of the first annual reporting period beginning on or after 1 January 2020. Consequently, entities do not have to revisit such transactions that occurred in prior periods.

2. Definition of Material - Amendments to IAS 1 and IAS 8

In October 2018, the IASB issued amendments to IAS 1 Presentation of Financial Statements and IAS 8 to align the definition of 'material' across the standards and to clarify certain aspects of the definition. The new definition states that, 'Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.'

The amendments clarify that materiality will depend on the nature or magnitude of information, or both. An entity will need to assess whether the information, either individually or in combination with other information, is material in the context of the financial statements.

Obscuring information

The amendments explain that information is obscured if it is communicated in a way that would have a similar effect as omitting or misstating the information. Material information may, for instance, be obscured if information regarding a material item, transaction or other event is scattered throughout the financial statements or disclosed using a language that is vague or unclear. Material information can also be obscured if dissimilar items, transactions or other events are inappropriately aggregated, or conversely, if similar items are inappropriately disaggregated.

New threshold: The amendments replaced the threshold 'could influence', which suggests that any potential influence of users must be considered, with 'could reasonably be expected to influence' in the definition of 'material'. In the amended definition, therefore, it is clarified that the materiality assessment will need to take into account only reasonably expected influence on economic decisions of primary users.

Primary users of the financial statements

The current definition refers to 'users' but does not specify their characteristics, which can be interpreted to imply that an entity is required to consider all possible users of the financial statements when deciding what information to disclose. Consequently, the IASB decided to refer to primary users in the new definition to help respond to concerns that the term 'users' may be interpreted too widely.

Other amendments: The definition of material in the Conceptual Framework and IFRS Practice Statement 2: Making Materiality Judgements were amended to align with the revised definition of material in IAS 1 and IAS 8.

The amendments must be applied prospectively. Effective for annual periods beginning on or after 1 January 2020.

3. Covid-19-Related Rent Concessions - Amendment to IFRS 16: LEASES

In May 2020, the IASB amended IFRS 16 to provide relief to lessees from applying the IFRS 16 guidance on lease modifications to rent concessions arising as a direct consequence of the covid-19 pandemic. The amendment does not apply to lessors. As a practical expedient, a lessee may elect not to assess whether a covid-19 related rent concession from a lessor is a lease modification. A lessee that makes this election accounts for any change in lease payments resulting from the covid-19 related rent concession the same way it would account for the change under IFRS 16, if the change were not a lease modification.

The practical expedient applies only to rent concessions occurring as a direct consequence of the covid-19 pandemic and only if all of the following conditions are met:

- The change in lease payments results in revised consideration for the lease that is substantially the same as, or less than, the consideration for the lease immediately preceding the change.
- Any reduction in lease payments affects only payments originally due on or before 30 June 2021 (for example, a rent concession would meet this condition if it results in reduced lease payments before 30 June 2021 and increased lease payments that extend beyond 30 June 2021)
- There is no substantive change to other terms and conditions of the lease.

Lessees will apply the practical expedient retrospectively, recognising the cumulative effect of initially applying the amendment as an adjustment to the opening balance of retained earnings (or other component of equity, as appropriate) at the beginning of the annual reporting period in which the amendment is first applied.

A lessee will apply the amendment for annual reporting periods beginning on or after 1 June 2020. Earlier application is permitted, including in financial statements not yet authorized for issue at 28 May 2020. Effective for annual periods beginning on or after 1 June 2020.

2.3 Summary of significant accounting policies

The following are the significant accounting policies applied by Premier Paints Plc in preparing its financial statements:

2.3.1 Operating segment

An operating segment is a component of the Company that engages in business activities from which it March earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of its' other components. It also includes a component of entity for which discrete financial information is available and whose operating results are regularly reviewed by the company's chief operating decision maker .The company is assessed as a single line of business "paint manufacturing" and it operates in one geographical location.

2.3.2 Issued share capital and reserves

Share issue costs

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of an equity instrument are deducted from the initial measurement of the equity instruments.

Dividend on the Company's ordinary shares

Dividends on the Company's ordinary shares are recognised in equity in the period in which they are paid or, if earlier, approved by the Company's shareholders.

2.3.3 Property, Plant and Equipment

Property, plant and equipment are recognised at cost except for Land and Building which are subsequently recognized at fair value based on the valuations by the independent valuers less accumulated depreciation and accumulated impairment loss. Cost includes expenditures that are directly attributable to the acquisition of the asset. When parts of an item of property, plant or equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment. The cost of replacing part of an item of property, plant or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The costs of the day-to-day servicing of property, plant and equipment are recognised in the Statement of profit or loss as incurred.

Depreciation is charged to profit or loss on a straight-line basis to write down the cost of each asset, to their residual values over the estimated useful lives of each part of an item of property, land and equipment. Leased assets are depreciated over the shorter of the lease term and their useful lives. Depreciation begins when an asset is available for use and ceases at the date that the asset is derecognised.

The estimated useful lives for the current and corresponding periods are as follows:

Leasehold land	99 years
Building	50 years
Plant and machinery	10 years
Furniture and equipment	10 years
Motor vehicles	5 years

Depreciation methods, useful lives and residual values are reassessed at each reporting date and adjusted prospectively if appropriate.

An item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the year the asset is derecognised.

On revaluation of property, plant and equipment, a revaluation surplus is recorded in OCI and credited to the asset revaluation reserve in equity. However, to the extent that it reverses a revaluation deficit of the same asset previously recognised in profit or loss, the increase is recognised in profit or loss. A revaluation deficit is recognised in the statement of profit or loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve. Upon disposal, any revaluation reserve relating to a particular asset been sold, is transferred to retained earnings.

2.3.4 Earnings per share

The company presents basic/ diluted earnings/ (loss) per share data for its equity ordinary shares.

Basic earnings/ (loss) per share is calculated by dividing the profit/ (loss) attributable to ordinary equity holders of the company by the weighted average number of ordinary shares outstanding during the year.

Diluted earnings/ (loss) per share is calculated by dividing the profit/ (loss) attributable to ordinary equity holders of the Company by the weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary share that would be issued on conversion of all the dilutive potential ordinary share into ordinary shares.

2.3.5 Impairment of non-financial assets

The carrying amounts of the Company's non-financial assets, other than inventories are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's or cash generating units' (CGUs) recoverable amount is estimated and an impairment loss is recognised if the carrying value of the asset or CGU exceeds its useful life. For the purpose of measuring recoverable amounts, assets are grouped at the lowest levels for which there are separately identifiable cash-generating units (CGUs). The recoverable amount is the higher of an asset's fair value less costs to sell and value in use (being the present value of the expected future cash flows of the relevant asset or CGUs). An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

Premier Paints evaluates impairment losses for potential reversals when events or circumstances March indicate such consideration is appropriate. The increased carrying amount of an asset other than goodwill attributable to a reversal of an impairment loss shall not exceed the carrying amount that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised for the asset in prior years. Impairment losses and impairment reversals are recognised in profit or loss.

2.3.6 Inventories

Inventories are measured at the lower of cost and net realizable value. The cost of inventories is based on first-in first-out principle and includes expenditure incurred in acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition. Net realizable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

Finished products and work-in-progress

Finished products and work-in progress are measured at manufacturing cost and takes into account the production stage reached. Costs include an appropriate share of direct production overheads based on normal operating capacity.

Raw and packaging material

Raw and packaging materials are measured at actual cost comprising invoice price, duty, freight, and handling charges.

2.3.7 Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one party and a financial liability or equity instrument of another party. Financial instruments are initially measured at fair value plus, in the case of a financial asset or financial liability not at fair value through profit or loss, transaction costs, that are directly attributable to the acquisition or issue of the financial asset or financial liability.

(i) Financial assets

For purposes of subsequent measurement, financial assets are classified into four categories: Financial assets as fair value through profit or loss, loans and receivables, held-to-maturity investment and available for sale assets. The company's financial assets include trade and other receivables and cash and bank balances. These financial assets have all been classified as loans and receivables.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. Loans and receivables are subsequently measured at amortised cost using the effective interest rate method, less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate method.

The losses arising from impairment are recognised in profit or loss in finance costs for loans and in administrative expenses for receivables.

Derecognition of financial assets

A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- a) The rights to receive cash flows from the asset have expired or
- b) The Company retains the right to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
 - The Company has transferred substantially all the risks and rewards of the asset or
 - The Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Company's continuing involvement in the asset.

Impairment of financial assets

The Company assesses at each reporting date whether there is any objective evidence that a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Evidence of impairment March include indications that the debtors or a group of debtors is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganisation and where observable data indicate that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults. An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount, and the present value of the estimated future cash flows discounted at the original effective interest rate. Individually significant financial assets are tested for impairment on an individual basis.

All impairment losses for items measured at amortised cost are recognised in the profit or loss. An impairment loss is reversed if the reversal can be related objectively to an event occurring after the impairment loss was recognised. For financial assets measured at amortised cost, the reversal is recognised in profit or loss.

Financial assets carried at amortised cost

For financial assets carried at amortised cost (such as trade receivables), the Company first assesses individually whether objective evidence of impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the Company determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk

PREMIER PAINTS PLC
STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES Cont'd...

Characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the loss is measured as the difference between the carrying amount of the asset and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate.

(ii) Financial liabilities

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, net of directly attributable transaction costs.

Subsequent measurement

The measurement of financial liabilities depends on their classification as follows:

Financial liabilities at amortised cost:

The company's financial liabilities include loans and borrowings and trade and other payables which are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Financial liabilities are classified as current liabilities if payment is due within 12 months. Otherwise, they are presented as non-current liabilities.

Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in the statement of profit or loss.

(iii) Determination of fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

PREMIER PAINTS PLC
STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES Cont'd...

- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

(iv) Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

2.3.8 Cash and cash equivalents

Cash and cash equivalents in the Statement of financial position comprise cash at bank and on hand and short-term deposits with original maturity of three months or less.

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and cash equivalents as defined above, net of outstanding bank overdrafts.

2.3.9 Taxes

Current income and Education taxes

Current income and education taxes assets and liabilities for the current year are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date in Nigeria. Where necessary, current income and education taxes assets and liabilities also include adjustments for tax expected to be payable or recoverable in respect of previous periods. The company income tax is charged on the taxable profit at 30% while the education tax is charged on the assessable profits of the company at the rate of 2%.

Assessable profit is defined as adjusted profit less unrelieved losses carried forward before taking into consideration capital allowances, balancing allowance and or balancing charge.

Deferred tax

Deferred tax is provided using the liability method in respect of temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax liabilities are recognised for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss. In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.
- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

PREMIER PAINTS PLC
STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES Cont'd...

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date. Deferred tax items are recognised in correlation to the underlying transaction either in profit or loss, other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Value added tax

Expenses and assets are recognised net of the amount of value added tax, except:

- when the value added tax incurred on a purchase of assets or goods is not recoverable from the taxation authority, in which case, the value added tax is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable
- when receivables and payables are stated with the amount of value added tax included.

The net amount of value added tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

2.3.10 Employee benefits

Defined contribution plan

A defined contribution plan is a pension plan under which the Company pays fixed contributions into a separate entity. The company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employees service in the current and prior period.

For defined contribution plans, the Company pays contributions to publicly or privately administered pension fund administration (PFA) on a mandatory basis in line with Pension Act. The company has no further payment obligations once the contributions have been paid.

The company operates a defined contribution pension scheme in line with the Pension Reform Act 2016. The employees and the Company contribute 8% and 10% of basic salary, housing and transport allowances respectively. The Company's contributions are accrued and charged to the Statement of profit or loss as and when the relevant service is provided by employees. The company has no further payment obligations once the contributions have been paid.

Termination benefits

Termination benefits are recognised as an expense and a liability when the Company is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to terminate employment before the normal retirement date. Termination benefits for voluntary redundancies are recognised if the Company has made an offer encouraging voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably.

PREMIER PAINTS PLC
STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES Cont'd...

Short term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

2.3.11 Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding tax, duties, returns, customer discounts and other customer related discounts. The company assesses its revenue arrangements against specific criteria in order to determine if it is acting as principal or agent. The Company has concluded that it is acting as a principal in all of its revenue arrangements.

Sale of goods

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer, usually on delivery of the goods, recovery of the consideration is probable, the associated costs and possible return of products can be estimated reliably, and there is no continuing management involvement with the products. If it is probable that discounts will be granted and the amount can be measured reliably, then the discount is recognised as reduction of revenue as the sales are recognised.

2.3.12 Expenses

Interest expense

Interest expenses are recognised as they accrue in profit or loss, using the effective interest method.

2.3.13 Leases

The determination of whether an arrangement is, (or contains), a lease is based on the substance of the arrangement at the inception date. The arrangement is assessed for whether fulfilment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

Company as a lessee

Operating lease payment

Operating lease is a lease that does not substantially transfer all risks and rewards incidental to ownership to the Company. Payments and lease incentives under operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

Finance leases that transfer substantially all the risks and benefits incidental to ownership of the leased item to the Company, are capitalised at the commencement of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments.

A leased asset is depreciated over the useful life of the asset. However, if there is no reasonable certainty that the Company will obtain ownership by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term. Operating lease payments are recognised as an operating expense in the Statement of profit or loss on a straight-line basis over the lease term.

2.3.14 Financial Instrument's risk management, objectives and policies

The company deploys a number of financial instruments (financial assets and financial liabilities) in carrying out its activities. The key financial liabilities of the company comprise bank borrowings and trade payables which are deployed purposely to finance the company's operations and to provide liquidity to support the Company's operations. The financial assets of the Company include trade and other receivables and cash equivalents also necessarily required for the operations of the Company.

The principal risks that Premier Paints Plc is exposed to as a result of holding the above financial instruments include credit, liquidity and market risks. The senior management of the Company oversees the management of these risks through the establishment of adequate risk management framework with appropriate approval process, internal control and authority limits. Thus, the Company's financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with those policies.

The Board of Directors which is responsible for the overall risk management of the Company reviews and agrees policies for managing each of these risks inherent in its involvement in financial instruments as summarised below:

Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivables from customers. Management has assessed the risk exposure and is taking action to mitigate the higher than usual risks. Intensified and continuous focus is being given in the areas of customers (managing trade receivables). Holding of cash at banks also exposes the Company to credit risk.

Concentrations of credit risk are indicated in the notes below and the maximum exposure is also provided thereafter.

Trade and other receivables

The company's management has credit policies in place and the exposure to credit risk is monitored on an ongoing basis. Under the credit policies, all customers requiring credit over a certain amount are reviewed and new customers are analysed individually for creditworthiness before the Company's standard payment and delivery terms and conditions are offered. Purchase limits are established for each customer and these limits are reviewed regularly.

The requirement for impairment is analysed at each reporting date on an individual basis for major clients. The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets disclosed in Note9.

The company does not hold collateral as security. Premier Paints Plc evaluates the concentration of risk with respect to trade receivables as low, as its customers are located in several jurisdictions and industries and operate in largely independent markets.

Cash and cash equivalents

The company limits its exposure to credit risk by only investing available cash balance in liquid securities and only with counterparties that have a good credit standing.

PREMIER PAINTS PLC
STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES Cont'd...

Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum credit risk at the reporting date was:

	Note	2025 N'000	2024 N'000
Trade and other receivables	9	259	149
Cash and bank balances	11	1,921	942
		2,180	1,091

The maximum exposure to credit risk for trade and other receivable at the reporting date by geographic region was:

	2025 N'000	2024 N'000
Ifo	259	149
Otta	-	-
	259	149

Ageing of trade and other receivables

The aging of trade and other receivables that are past due but not impaired at the reporting date was:

	2025 N'000	2024 N'000
Not past due	-	-
Past due 30-60 days	259	149
Past due 61-120 days	-	-
More than 120 days	-	-
	249	149
	=====	=====

PREMIER PAINTS PLC
STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES Cont'd...

Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation. Recent times have proven the credit markets situation could be such that it is difficult to generate capital to finance long-term growth of the Company. The company is currently negotiating with the financial institution to refinance its loans. Financing strategies are under continuous evaluation.

The company's liabilities are more than its assets, this creates a funding gap. Consequently, the Company brought in a strategic investor (TGHL) to meet this gap. TGHL being a strategic Investor helps in closing the funding gap of the company by getting more contracts and sourcing for Key customer based on their brand and business network". This is aside the plan to raise more funds to serve both as working Capital and for expansion by way of new equity.

The table below summarizes the maturity profile of the Company's financial liabilities:

Year ended 31/12/25	On demand N'000	Less than 3 months N'000	3 to 12 months N'000	1 to 5 years N'000	> 5 years N'000	Total N'000
Interest-bearing loans and borrowings	-	-	180,590	-	-	180,590
Trade and other payables	-	-	189,784	-	-	189,784
	-	-	370,374	-	-	370,374 =====
Year ended 31/12/24	On demand N'000	Less than 3 months N'000	3 to 12 months N'000	1 to 5 years N'000	> 5 years N'000	Total N'000
Interest-bearing loans and borrowings	-	-	180,590	-	-	180,590
Trade and other payables	-	-	189,784	-	-	189,784
	-	-	370,374	-	-	37,374 =====

Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Company's income or the value of its financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, whilst optimising there turn on risk.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The company is not exposed to interest rate risk as all loans and borrowings are at fixed interest rates.

Capital management

Capital includes equity attributable to the equity holders of the Company. The primary objective of the Company's capital management is to ensure that it maintains healthy capital ratios in order to support its business and maximize shareholders' value.

PREMIER PAINTS PLC
STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES Cont'd...

In order to achieve this overall objective, the Company is committed to carrying out a private placement to the major shareholders.

The company manages its capital structure and makes adjustments to it in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares.

No changes were made in the objectives, policies or processes for managing capital during the years ended 31 December 2025 (2024: Nil).

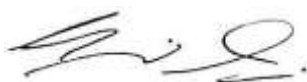
	2025 N'000	2024 N'000
Loan obligation (Note 13)	180,590	180,590
Trade and other payables (Note 14)	188,071	199,944
Less: cash and bank balances (Note 11)	(1,921)	(942)
Net debt	366,740	379,592
Equity	(217,912)	(219,905)
Capital and Net debt	161,737	170,920
Gearing ratio	(59%)	(58%)

		2025	2024
	Note	N'000	N'000
Revenue	3	148,105	130,828
Cost of sales	4.1	(111,552)	(102,738)
Gross profit		36,553	28,090
Other operating income	4.2	-	-
Selling and Distribution expenses	4.3	(12,466)	(9,003)
Administrative expenses	4.4	(21,606)	(19,563)
Operating Profit/ (loss)		2,481	(477)
Finance costs	4.5	-	-
Loss before taxation		2,481	(477)
Taxation	5	(488)	(230)
Loss after taxation		1,993	(707)
Other Comprehensive Income not to be classified to Profit or Loss		-	-
Net gain on revaluation of Land & Building			
Income Tax effect		-	-
Other Comprehensive Profit for the Year Net of Tax		-	-
Total Comprehensive Profit for the Year Net of Tax		1,993	(707)
Profit/(Loss) after Taxation attributable to:			
Owners of the Company (Ordinary Equity holders)		1,993	(707)
Earnings per share - (kobo)			
Earnings/ (Loss) per share (Naira)	6	1.62	(0.57)

PREMIER PAINTS PLC
STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2025

		(Audited) 31, Dec, 2025 N'000	(Audited) 31, December, 2024 N'000
ASSETS	Note		
Non-current assets			
Property, plant and equipment	7	159,310	169,049
		159,310	169,049
Current assets			
Inventories	8	247	781
Trade and other receivables	9	259	149
Prepayments	10	-	-
Cash equivalents	11	1,921	942
		2,428	1,872
Total assets		161,737	170,920
EQUITY			
Share capital	12	61,500	61,500
Share premium	12	18,206	18,206
Capital reserve		181,150	181,150
Retained earnings		(478,768)	(480,761)
Total equity		(217,912)	(219,905)
Non-current liabilities			
Deferred taxation	16	9,558	9,558
		-	-
		9,558	9,558
Current liabilities			
Trade and other payables	14	188,071	199,944
Income Tax Payable	16	1,430	733
Interest bearing loans and borrowings	13	180,590	180,590
		370,091	381,267
Total liabilities		379,649	390,825
Total equity and liabilities		161,737	170,920

Approved by the Board of Directors on March 26, 2026 and signed on its behalf by:



Adedoyin Adeyinka (Chairman)
FRC/2013/IODN/00000004265



Matthew Eledan (Head of Finance)
FRC/2013/ICAN/00000002332

PREMIER PAINTS PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2025

	Issued Capital	Share premium	Revaluation reserve	Revenue reserve	Total
	₦000	₦000	₦000	₦000	₦000
At 1 January 2025	61,500	18,206	181,151	(480,761)	(219,904)
Profit for the year	-	-	-	1,993	1,993
Additions during the year	-	-	-	-	-
Other comprehensive income	-	-	-	-	-
At 31 Dec 2025	61,500	18,206	181,151	(478,768)	(217,911)
At 1 January 2024	61,500	18,206	181,151	(480,054)	(219,197)
Profit for the year	-	-	-	(707)	(707)
Additions during the year	-	-	-	-	-
Other comprehensive income	-	-	-	-	-
At 31 Dec 2024	61,500	18,206	181,151	(480,761)	(219,904)

PREMIER PAINTS PLC
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2025

	2025	2024
	₦ 000	₦ 000
Profit or (Loss) For the year	1,993	(707)
Adjustment for Non Cash Items:		
Depreciation	9,739	9,998
Operating profit before changes in working Capital	11,732	9,291
Changes in Working Capital:		
Decrease/(Increase) in Inventories	534	3,564
Decrease/(Increase) in Account Receivables	(110)	1,148
Increase/(Decrease) in Account Payables	(11,873)	(14,781)
Increase/(Decrease) in Income tax Payables	697	(261)
Increase/(Decrease) in Income Deferred tax	-	-
	-	-
Increase/(Decrease) in Interest bearing loans and borrowings	-	-
	980	(1,039)
Increase/(Decrease) in Provision for Corporate Tax	-	-
Increase/(Decrease) in Provision for Education Tax	-	-
Cash Flow from Investing Activities		
Purchase of property, plant and equipment	-	-
Proceeds from disposal of non current assets	-	-
Net Cash from Investing Activities	-	-
Cash Flow from Financing Activities:		
Proceeds from Loans and Borrowings	-	-
Repayment of Loans and Borrowings	-	-
Interest Paid	-	-
	-	-
Net (decrease)/Increase in cash and cash equivalents	980	(1,039)
Cash and cash equivalents at the beginning of the Year	942	1,981
Cash and cash equivalents at the end of the year	1,921	941

PREMIER PAINTS PLC
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

	2025 N'000	2024 N'000
3. Revenue		
Sales	148,105	130,828
4. Other operating income and expenses		
4.1 Cost of sales		
Cost of sales - Paints	88,058	77,508
Employee benefits	9,800	10,582
Factory depreciation	7,791	7,954
Lubricants	2,839	5,104
Other direct production costs	3,048	1,588
Utilities	16	2
	<u>111,552</u>	<u>102,738</u>
4.2 Selling and distribution expenses		
Business promotions	-	-
Carriage outward	5,704	4,557
Depot rent & rates	-	-
Depreciation	487	498
Employee benefit expenses	508	740
Marketing expenses	5,768	3,209
Motor running expenses	-	-
Other direct S & D	-	-
	<u>12,466</u>	<u>9,003</u>

	2024 N'000	2023 N'000
4.3 Administrative expenses		
AGM and Board meeting expenses	-	-
Audit fee	-	60
Bank charges	156	111
Corporate Affairs expenses	-	-
Depreciation	1,785	1,546
Directors fees	-	-
Employee benefits (Senior & Junior Staff)	-	-
Employee benefits	14,050	11,507
Impairment of doubtful receivables	-	-
Legal & other professional fee	-	-
Loss on asset disposal	-	-
Motor running expenses	215	1,097
Other admin expenses	740	842
Printing and stationery	845	759
Repairs & maintenance	600	815
Security expenses	1,256	919
Statutory fee	907	907
Telecommunications	345	569
Transport and travelling	708	432
	<u>21,606</u>	<u>19,563</u>
4.4 Finance expenses		
Interest charges	-	-
	<u>-</u>	<u>-</u>
4.5 Depreciation		
Cost of sales	7,791	7,954
S & D	487	498
Admin exp	1,785	1,546
	<u>10,063</u>	<u>9,998</u>

	2025 N'000	2024 N'000
4.6 Employee benefit expenses		
Cost of sales		
salaries and wages	8,352	9,318
Pension	1,447	1,264
S & D		
salaries and wages	6,275	607
Pension	811	133
Admin exp		
salaries and wages	12,037	16,017
Pension	2,013	3,583
	<u>30,935</u>	<u>30,922</u>

5 Income tax

a Income statement CIT

Education tax	-	-
Education tax	-	-
Company Income tax	<u>488</u>	<u>230</u>
	488	230
Deferred tax (Note 8)	<u>-</u>	<u>-</u>
	<u>488</u>	<u>230</u>

Statement of comprehensive income

Deferred tax related to items recognised in OCI during the year:

Net gain on revaluation of land and buildings	--	-
Deferred tax expense recognised in OCI	-	-

6. Basic/ diluted(loss)/earnings per share

Basic (loss)/earnings per share is calculated by dividing the (loss)/profit attributable to ordinary equity holders of the Company by the weighted average number of ordinary shares outstanding during the year.

Diluted (loss)/earnings per share is calculated by dividing the (loss)/profit attributable to ordinary equity holders of the Company by the weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary share that would be issued on conversion of all the dilutive potential ordinary share into ordinary shares.

The following reflects the income and share data used in the basic/ diluted (loss)/profit per share computations:

	2025 N'000	2024 N'000
Net (loss)/profit attributable to ordinary equity holders	1,993	(707)
	=====	=====
	Number '000	Number '000
Weighted average number of ordinary shares for basic (loss)/profit per share	123,000	123,000
Basic (loss)/earnings per share (kobo)	1.62k)	(57k)
Diluted (loss)/earnings per share (kobo)	1.62k	(57K)

There were no other transactions affecting the shareholdings that must lead to the dilution of equity. There are no dilutive instruments in issue.

7. Property, Plant and Equipment

	LAND	BUILDING	PLANT & MACH.	MOTOR VEH.	FUR. & EQUI	TOTAL
	N"000	N"000	N"000	N"000	N"000	N"000
Cost/ Revaluation:						
At 1 January 2024	33,000	224,000	39,052	2,190	15,043	313,285
Additions	-	-	-	-	-	-
Disposals	-	-	-	-	-	-
Transfer						-
Revaluation						-
At 31 December 2024	33,000	224,000	39,052	2,190	15,043	313,285
Additions	-	-	-	-	-	-
Disposals	-	-	-	-	-	-
Transfer						-
Revaluation						-
At 31 Dec 2025	33,000	224,000	39,052	2,190	15,043	313,285
Accum depreciation:						
At 1 January 2024	-	77,953	39,053	2,190	15,043	134,239
Charge for the year	-	9,998	-	-	-	9,998
Disposals	-	-	-	-	-	-
Transfer						-
At 31 December 2024	-	87,951	39,053	2,190	15,043	144,237
Charge for the year	-	9,739	-	-	-	9,739
Disposals	-	-	-	-	-	-
Transfer						-
						-
At 31 Dec 2025	-	97,690	39,053	2,190	15,043	153,976
At 31 Dec 2025	33,000	126,310	(0)	0	0	159,310
At 31 December 2024	33,000	136,049	(0)	0	0	169,049

7. Property, plant and equipment - Continued

The transfer relates to the accumulated depreciation as at the revaluation date that was eliminated against the gross carrying amount of the revalued asset.

All land held by the Company are under Finance lease arrangements. The maximum tenor of the lease arrangements is 99 years. The lease amounts were fully paid at the inception of the lease arrangements.

	2025 N'000	2024 N'000
8 Inventories		
RM	1,388	1,560
WIP	469	279
FG	1,079	1,631
	<u>2,936</u>	<u>3,470</u>
8.1 Provision	<u>(2,689)</u>	<u>(2,689)</u>
	<u>247</u>	<u>781</u>
9 Trade and other receivables (current)		
Trade debtors	1,258	2,547
Provision for doubtful debts (Note 9.1)	<u>(998)</u>	<u>(2,398)</u>
	259	149
Other debtors	<u>-</u>	<u>-</u>
	<u>259</u>	<u>149</u>
9.1 Provision		
At 1 January	2,398	998
Addition	-	-
Write back	<u>(1,400)</u>	<u>1,400</u>
At 31 December	<u>998</u>	<u>2,398</u>

As at 31 December 2025, no trade receivables (2024: nil) was impaired and fully provided for. See below for the movements in the provision for impairment of receivables.

	Individually impaired N'000	Collectively impaired N'000	Total N'000
As at 1 January 2025	-	-	-
Charge for the year	-	-	-
Utilised during the year	-	-	-
At 31 December 2025	- =====	- =====	- =====
As at 1 January 2024	-	-	2,398
Charge for the year	-	-	-
Utilised during the year	-	-	-
At 31 December 2024	- =====	- =====	- =====

	2025 N'000	2024 N'000
10. Prepayments		
Prepaid expenses	- =====	- =====
11. Cash and cash equivalents		
Cash at banks	1,921	942
Cash on hand	-	-
Cash and bank balances	1,921 =====	942 =====

The Company's exposure to interest rate risk and a sensitivity analysis for financial assets and liabilities is disclosed in Note 2.3.14.

For the purpose of the statement of cash flows, cash and cash equivalents comprise the following at 31 December:

Cash equivalents	1,921	942
Cash and cash equivalents	1,921 =====	942 =====

	2025 N'000	2024 N'000
12. Issued share capital and share premium		
12.1 Issued share capital		
Authorised shares: 250,000,000 ordinary shares of 50kobo each	125,000	125,000
Issued and fully paid: 123,000,000 ordinary shares of 50kobo each	61,500	61,500
12.2 Share premium		
The share premium represents the value of cash paid above the par value of the share. There was no Movement in the account during.		
At 1 January	18,206	18,206
At 31 December	18,206	18,206
12.3 Revaluation reserve		
At 1 January	180,590	180,590
Additions	-	-
	180,590	180,590
13. Interest bearing loans and borrowings		
Non-current portion		
BOI/ Unity Bank loan (Note 13.1)	-	-
	-	-
Current portion		
BOI/ Unity Bank loan (Note 13.1)	180,590	180,590
	180,590	180,590
13.1 Breakdown		
Outstanding	50,517	50,517
Provision against Interest & Penalties	130,073	130,073
	180,590	180,590

14 Trade and other payables (current)

Trade payable	7,046	9,000
Other payables	60,255	44,349
Final staff entitlement	7,557	9,712
Accruals	50,168	65,077
Sundry (Note 14a)	31,700	31,700
Staff pension accruals	17,931	29,947
VAT	13,412	10,159
	188,070	199,944

Terms and conditions:

Trade payables are non-interest bearing and are normally settled on 90 days terms.

Other payables are non-interest bearing and have an average term of 3 months.

15. Related party transactions

Parent Company - Trans Global Holding Limited (TGHL)

Trans Global Holding Limited a Company incorporated in the Federal Republic of Nigeria holds 51% of the Company's shares. There was no transaction conducted with the Company during the year (2024: Nil).

15.1 Key management personnel

The key management personnel, and persons connected with them, are also considered to be related parties. The definition of key management includes the close members of family of key personnel and any entity over which key management exercise control. The key management personnel have been identified as the executive and non-executive directors of the Company. Close members of family are those family members who may be expected to influence, or be influenced by that individual in their dealings with the Company.

Key management personnel compensation for the year comprises:

	2025 N'000	2024 N'000
Short- term compensation	-	-
	-	-
Director's remuneration:		
Fees as Directors	-	-
Remuneration	-	-
	-	-
Chairman	-	-
	=====	=====
Highest paid Director	-	-
		=====

The number of directors including the Chairman whose emoluments fell within the following ranges were:-

		2025 Number	2024 Number
N	N		
50,001 -	2,200,000	6	6
2,200,001 -	4,950,000	-	-
4,950,001 -	11,900,000	1	1
		----	----
		7	7
		==	==

16 TAXATION

16.1 Current tax payable

At 1 January	733	1,058
Current year tax provision	488	230
Payments/reclassified	209	(555)
At December 31,	<u>1,430</u>	<u>733</u>

16.2 Deferred tax liability

At 1 January	9,558	9,558
Charge/ (Write back)	-	-
At December 31,	<u>9,558</u>	<u>9,558</u>

Deferred tax relates to the following:

Accelerated depreciation for tax purposes	34,770	53,232
Impairment of trade receivables	(300)	(479)
Unrelieved losses	(24,105)	(42,388)
Allowance for inventories	(807)	(807)
	<u>9,558</u>	<u>9,558</u>

17. Operating activities

	2025 ₦ 000	2024 ₦ 000
Profit or (Loss) For the year	1,993	(707)
Adjustment for Non Cash Items:		
Depreciation	<u>9,739</u>	<u>9,998</u>
Operating profit before changes in working Capital	11,732	9,291
Changes in Working Capital:		
Decrease/(Increase) in Inventories	534	3,564
Decrease/(Increase) in Account Receivables	(110)	1,148
Increase/(Decrease) in Account Payables	(11,873)	(14,781)
Increase/(Decrease) in Income tax Payables	697	(261)
Increase/(Decrease) in Income Deferred tax	-	-
	-	-
Increase/(Decrease) in Interest bearing loans and borrowings	-	-
	<u>980</u>	<u>(1,039)</u>

18. Going concern

The company as at 31 December 2020 has a negative working capital of N198 million (2019: N177 million). This condition indicates the existence of material uncertainty which March cast significant doubt on the Company's ability to continue as a going concern and, therefore that it March be unable to realise its assets and discharge its liabilities in the normal course of business.

The financial statements are prepared on the basis of accounting policies applicable to a going concern. This basis assumes that the company will continue to receive financial support from its holding company and the realisation of assets and settlement of liabilities will occur in the ordinary course of the business.

19. Information relating to employees

19.1 The average number of persons employed in the financial year and the staff cost were as follows:

	2025 Number	2024 Number
Management	1	1
Senior staff	3	4
Junior staff	11	12
	----	----
	15	17
	==	==

19.2 The numbers of employees in receipt of emoluments excluding allowances within the following ranges were:

N	N	2025 Number	2024 Number
210,001 -	360,000	1	1
360,001 -	510,000	3	3
510,001 -	660,000	2	2
660,001 -	810,000	2	2
810,001 -	960,000	2	2
960,001 -	1,110,000	-	-
1,110,001 -	1,860,000	2	3
1,860,001 -	2,760,000	2	2
2,760,001 -	3,510,000	-	1
3,510,001 -	7,560,000	1	1
		---	----
		15	17
		==	==

19.3 The average number of persons employed by the Company during the year was as follows:

	2025 Number	2024 Number
Administration	11	11
Sales and Marketing	2	3
Production	2	3
	----	----
	15	17
	==	==

20. Litigation and claims

There are no litigations and claims against the Company as at 31 December 2024 (2023: Nil). Hence, no provision was made in the financial statements for contingent liabilities in respect of any claim.

21. Events after the reporting date

We are of the opinion that there are no events after the reporting date that could have material effect on the Company's financial statements that had not been adequately provided or disclosed in these financial statements.

22. Assessment on COVID-19 Pandemic

Since the break out of covid-19 in Nigeria on 21st March 2020, there has been negative effect on social and economic aspects of the policy. This is caused from fall in commodity prices, crude oil especially, decline in foreign direct investment (FDI) and contracted volume of trade, mobility restriction, amongst others. The inherent effect on the business activities of the company is loss of revenue amidst rising fixed costs due to inflationary pressure and currency devaluation, stoppage of production. These notwithstanding, the strategy architecture of the company is adaptable such that the applicability of the going concern is not threatened.

23. Capital commitments

There were no capital commitments as at 31 December 2025 (2024: Nil).

PREMIER PAINTS PLC
FIVE-YEAR FINANCIAL SUMMARY
FOR THE YEAR ENDED 31 DECEMBER 2025

	AUDITED	AUDITED	AUDITED	AUDITED	AUDITED
	2025	2024	2023	2022	2021
	N'000	N'000	N'000	N'000	N'000
Statement of financial position					
Assets and liabilities:					
Property, plant and equipment	159,310	169,049	179,047	188,690	199,854
Deferred tax liability	(9,558)	(9,558)	(9,558)	(9,558)	(9,558)
Net current liabilities	(367,663)	(379,395)	(388,686)	(398,804)	(390,602)
Interest bearing loans and Borrowings (non-current)	-	-	-	-	-
	.-----	.-----	.-----	.-----	.-----
	217,912	219,905	219,198	219,672	200,306
	=====	=====	=====	=====	=====
Shareholders' fund					
Issued share capital	61,500	61,500	61,500	61,500	61,500
Share premium	18,206	18,206	18,206	18,206	18,206
Revaluation reserve	181,150	181,150	181,150	181,150	181,150
Retained earnings	(478,768)	(480,761)	(480,054)	(480,528)	(461,162)
	.-----	.-----	.-----	.-----	.-----
	(217,912)	(219,905)	(219,198)	(219,672)	(200,306)
	=====	=====	=====	=====	=====
Turnover	148,105	130,828	142,873	130,198	101,261
	.-----	.-----	.-----	.-----	.-----
(Loss)/profit before taxation	2,481	(477)	1,061	(18,811)	(21,924)
Taxation	(488)	(230)	(587)	(555)	(483)
	.-----	.-----	.-----	.-----	.-----
(Loss)/profit after taxation	1,993	(707)	474	(19,366)	(22,407)
	=====	=====	=====	=====	=====
Basic (loss)/earnings per share (kobo)	0.02	(0.01K)	0.00	(0.16K)	(0.18K)
	=====	=====	=====	=====	=====
Diluted(loss)/earnings per share (kobo)	0.02	(0.01K)	0.00	(0.16K)	(0.18K)
	=====	=====	=====	=====	=====